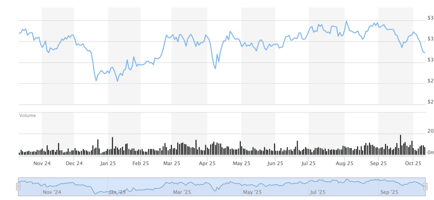
NYSE: VICI

VICI Properties Inc.

Oct 11, 2025

Stock Data

Sector	Real Estate Investment Trust
Industry	Experiential Properties
Price	30.96 USD
52-Week Range	27.98 USD - 34.03 USD
Market Cap	33.01B USD
Volume	7,893,829



Company Profile

VICI is engaged in the business of owning and acquiring gaming, hospitality, wellness, entertainment and leisure destinations, subject to long-term triple net leases. Their portfolio includes Caesars Palace Las Vegas, MGM Grand, and the Venetian Resort Las Vegas. VICI's gaming and entertainment facilities are leased to leading brands that seek to drive consumer loyalty and value with guests through superior services, experiences, products and continuous innovation and feature over 500 restaurants, bars, nightclubs and sportsbooks.

VICI is currently growing its partnerships with leaders in other experiential sectors, including Cabot, Canyon Ranch, Chelsea Piers, Great Wolf Resorts, Homefield, Kalahari Resorts, and Lucky Strike Entertainment.

Industry Macro Context

- Post-pandemic, the U.S. leisure and entertainment economy has experienced a robust rebound, fueled by pent-up travel demand, record convention bookings in Las Vegas, and a sustained shift toward experience-based consumption over goods
- The potential for fiscal volatility and elevated interest rates under the Trump administration could raise financing costs
- Long-term triple-net leases stabilize cash flows, but they don't insulate WACC
    - It might be riskier to own an REIT in a high interest rate/bearish market

Investment Thesis

In a high interest rate or bearish market, REITs become riskier to own. As a result, even high-quality landlords like VICI may face slower acquisition pipelines and valuation pressure, despite maintaining strong operational fundamentals. The Weighted Average Cost of Capital may increase for REITs like VICI as a result of uncertainty in Trump's presidency. In the event where WACC increases and VICI maintains their fundamental strengths and current growth in Free Cash Flow to the Firm of about 1.3% per quarter, in a conservative case outlined below, I set a price target of $39.15 USD. My thesis hinges on rent stability, balance sheet discipline, and limited cap rate expansion

VICI is a really strong landlord

- Total revenues increased 6.6% year-over-year to $3.8 billion
- Collected 100% of contractual rent in cash
- Adjusted Funds From Operations increased 8.4% year-over-year to $2.4 billion
    - This is considered the most important metric to track in an REIT
- VICI is expanding
    - One Beverly Hills Mezzanine (Q1 2025) purchased with a mix of cash on hand and existing credit
    - Previously, in 2024, purchased MGM Grand and Mandalay Bay.
- Debt is constant, hovering around 16B every quarter
- Total assets increased 3.27% from Q2 2024 to Q2 2025, and revenues at 5.92% at a near constant debt.
- Many leases are set to last until 2050, and those that expire sooner are extremely unlikely to relocate.
- VICI's moat lies in irreplaceable Las Vegas real estate with leases lasting into the 2050s

Discounted Cash Flow

Step 1: Obtaining FCFF

	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Q1 2025	Q2 2025
IBIT	601,365	755,987	746,942	626,652	549,809	883,932
Interest expense	-204,882	-205,777	-207,317	-208,121	-209,251	-213,797
Interest income	5,293	3,926	2,797	4,079	3,697	2,293
EBIT	**800,954**	**957,838**	**951,462**	**830,694**	**755,363**	**1,095,436**
Provision for income taxes	-1,562	-3,234	-2,461	-2,447	2,456	-5,564
GAAP tax expense (not %)	0.00259742	0.00427785	0.00329477	0.00390488	-0.004467	-0.004467
NOPAT	**798873.583**	**953740.511**	**948327.154**	**827450.241**	**758737.211**	**1100329.31**
Add Back Non-Cash Charges (D&A)	**800,007**	**954,733**	**949,335**	**828,442**	**759,733**	**1,101,070**
Acquisition of property and equipment	-2,410	-2,666	-1,366	-1,084	-156	-672
Subtract Capital Expenditures (CapEx)	**797,597**	**952,067**	**947,969**	**827,358**	**759,577**	**1,100,398**
Other assets	-5,026	-14,979	14,095	9,646	-6,666	419
Accrued expenses & deferred revenue	-39,510	28,840	-28,903	26,130	-22,898	25,508
Other liabilities	-1,524	4,649	-3,303	-1,327	83	-2,388
Change in Net Working Capital	**-46,060**	**18,510**	**-18,111**	**34,449**	**-29,481**	**23,539**
Free Cash Flow for the Firm	**751,537**	**970,577**	**929,858**	**861,807**	**730,096**	**1,123,937**

Step 2: Calculate current growth

	Quarter	FCFF	log(FCFF)
1	Q1 2024	**751,537**	5.87595013
2	Q2 2024	**970,577**	5.98702978
3	Q3 2024	**929,858**	5.9684167
4	Q4 2024	**861,807**	5.93541014
5	Q1 2025	**730,096**	5.86338009
6	Q2 2025	**1,123,937**	6.05074209

Performing a Linear Regression on the logarithm of the Free Cash Flow to the Firm can help us estimate the rate of growth of the company. But, since DCF models assume compounding (%), not linear increases, so we use this log-linear version.

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> LINEST(D2:D7,A2:A7,TRUE,TRUE)
<
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0.013428692	5.899821068
0.017664418	0.068793023
0.126240999	0.073895561
0.577921367	4
0.003155771	0.021842215

Hence, we can extrapolate that the slope of the change in Free Cash Flow (g), when plugged into $e^{0.013428692} - 1$, represents the quarterly growth rate of Free Cash Flow to the Firm. Accordingly, we will work with an annual growth rate of g = 0.0551835.

Step 3: Discount Cash Flow

Assuming long term growth of +2.5% annually (conservative) and a bearish outlook on macroeconomic trends to influence a WACC of 8% (compared to 6.9% actively), we will model VICI properties in 2028.

Year (Estimated, g)	FCFF (LTM)
2025 - *LTM as base*	3645699
2026	3846881.656
2027	4059166.378
2028	4283165.732
2029	4519526.174
2030	4768929.832

Index	Year	FCFF	PV Factor	PV
1	2025	3,645,699	0.92592593	3375647.15
2	2026	3846881.66	0.85733882	3298080.98
3	2027	4059166.38	0.79383224	3222297.14
4	2028	4283165.73	0.73502985	3148254.68
Terminal	-		0.73502985	79822634.1

Enterprise value is $58672022.3k. Given net debt is 16,922,273k and shares outstanding as of Q2 2025 is 1,066,369,778, we arrive at an estimated value per share of $39.15 USD.

Catalysts

- Expansion into wellness and sports (Canyon Ranch, Chelsea Piers, Homefield) diversifies cash flows.
- One Beverly Hills project adds trophy-grade exposure and long-term rent growth.
- Federal policy uncertainty under the Trump administration could increase volatility and WACC across REITs.
- Current P/E is 12.49; 5 year average is 16.97

Conclusion

A DCF-implied fair value of $39.15/share supports a Buy view because of VICI's stable cash flows and resilience against macro headwinds. Reassessment should take place if WACC does not increase at least +0.7%.